

THE UNIVERSITY OF ZAMBIA
SCHOOL OF HUMANITIES AND SOCIAL SCIENCES
DEPARTMENT OF ECONOMICS
ECN 1215: INTRODUCTION TO MACROECONOMICS
TUTORIAL SHEET 2 2023

QUESTION ONE

- a) Define Gross Domestic Product and differentiate it from Gross National Product.
- b) Illustrate the leakages and injections between the foreign sector, government, households and firms using the circular flow model of income and expenditure.
- c) Discuss the three types of market systems.

QUESTION TWO

The following information relates to the national income accounts for Zambia for the 2022 financial year measured in million dollars.

GNP at market prices	12000
Consumption	7000
Investment	550
Depreciation.....	85
Imports.....	1200
Indirect taxes.....	220
Government purchases.....	2800
Factor payments from abroad.....	1200
Factor payment to abroad.....	1950

- a. Gross National Product at basic prices
- b. Gross Domestic product at market prices
- c. Net exports
- d. Exports
- e. Net National Product
- f. National Income

QUESTION THREE

Consider an economy described by the following equations and answer the questions that follows;

$$C = 250 + 0.75(Y - T)$$

$$I = 1,000$$

$$G = 1,000$$

$$T = 50$$

$$X = 600$$

$$M = 500 + 0.2Y$$

- Calculate the marginal propensity to save, disposable income, autonomous expenditure and budget deficit/surplus.
- Calculate the government expenditure multiplier
- Calculate the equilibrium level of output.
- Given that government carries out an expansionary fiscal policy by increasing its expenditure by K500. What is the impact of this on the equilibrium level of output and consumption? Analyze this using the Keynesian cross model.
- Given that full employment is reached at a level of 1,430, by how much should we change investment so as to achieve full employment income?

QUESTION FOUR

Complete the following table

Level of output and income (K) (GDP=DI)	Consumption (K)	Saving (K)	APC	APS	MPC	MPS
240		-4				
260		0				
280		4				
300		8				
320		12				
340		16				
360		20				
380		24				
400		28				

- Show the consumption and saving schedules graphically
- Find the break-even level of income. Explain how it is possible for households to dissave at very low income levels.
- If the proportion of total income consumed (APC) decreases and the proportion saved (APS) increases as income rises, explain both verbally and graphically how the MPC and MPS can be constant at various levels of income.